

Introduction to Agent-Based Models

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Overview

1 Introduction

2 ABMs in micro

3 ABMs in Finance

4 ABMs in Macro

Why Agent-Based Models?

- Traditional models often revert to a steady state after a shock.

Conditional forecast would have pointed to significant upside risk to inflation surge

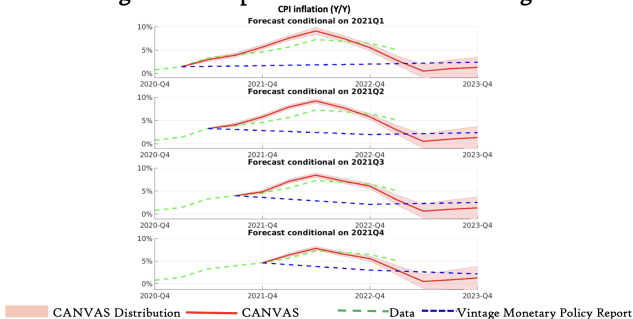


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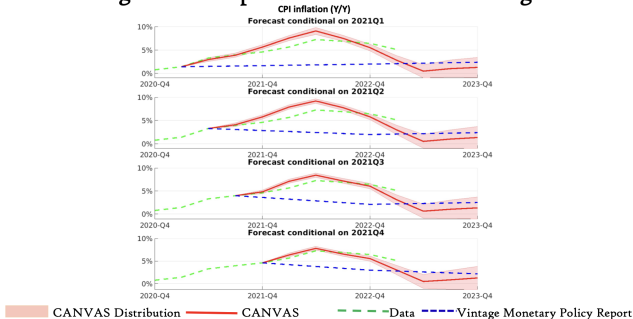


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- ABMs can generate **persistent dynamics** and **path dependence**.
- This makes them suitable for forecasting and policy analysis.

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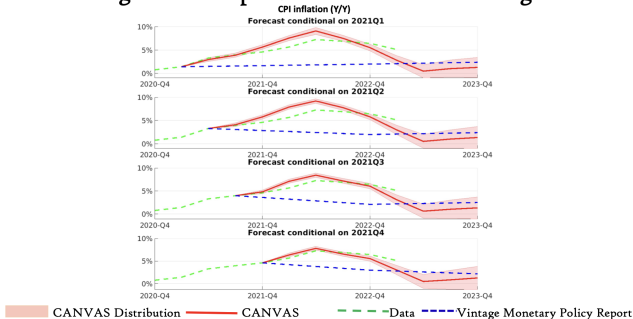


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ABMs vs. DSGE Models

DSGE (traditional)

- Representative agent
- Rational expectations
- Equilibrium dynamics
- Analytical / linearised solutions
- Exogenous shocks drive cycles

Agent-Based Models

- Heterogeneous agents
- Bounded rationality
- Out-of-equilibrium dynamics
- Computational simulation
- Endogenous crises can emerge

ABMs and DSGE are **complementary**: DSGE excels at analytical tractability, ABMs provide flexibility to model heterogeneity, networks, and non-linear feedbacks.

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- Widely applied in biology, physics, chemistry, sociology, and economics.

What are agent-based model typical elements?

- Multiple agents

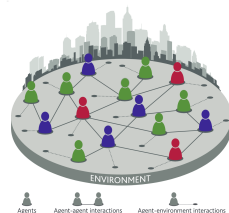


Figure: A schematic of the elements of an agent-based model and their interactions. Source: Haldane and Turrell (2018).

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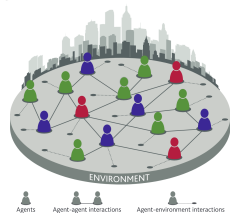


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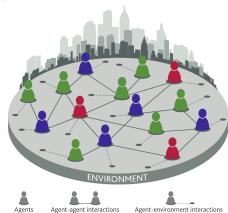


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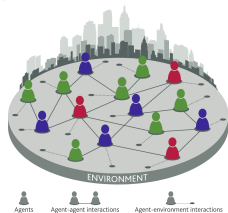


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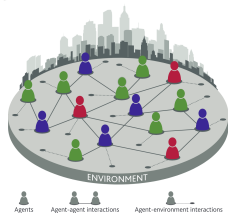


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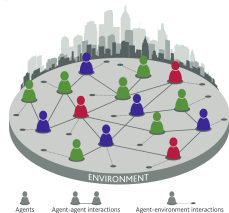


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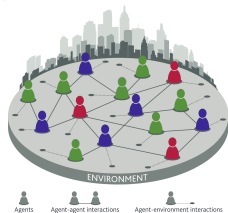


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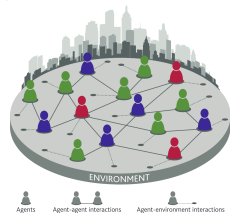


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- Conway's Game of Life

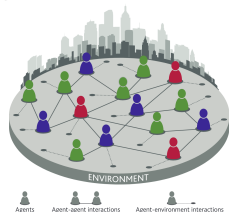


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Classic example of agent-based model of Schelling (1969)

- **Agent:** Household/consumer/person.
- **State:** Happiness/utility of the agents.

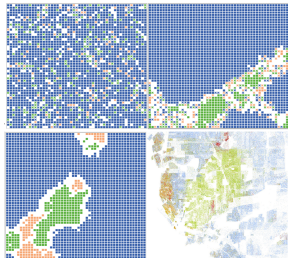


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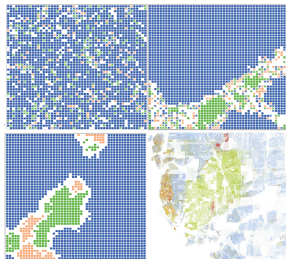


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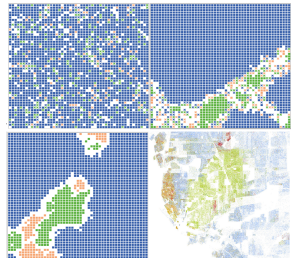


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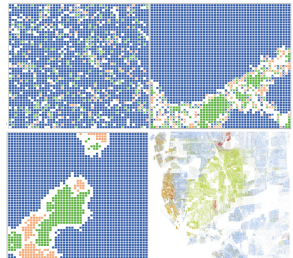


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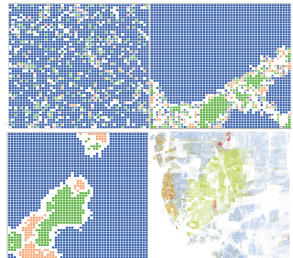


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- Example: Demonstration

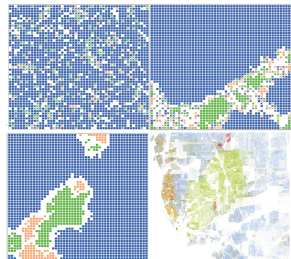


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Simple market in microeconomics

- There are two parties: Many consumers and suppliers.

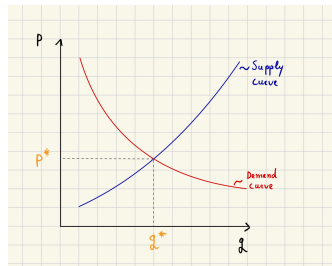


Figure: Microeconomic equilibrium

Simple market in microeconomics

- The market clears where the upward-sloping supply curve and downward-sloping demand curve cross.

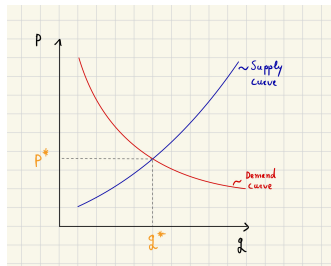


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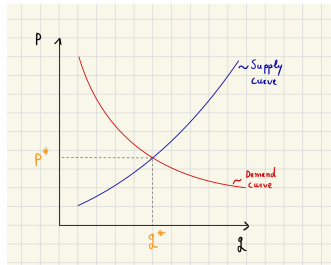


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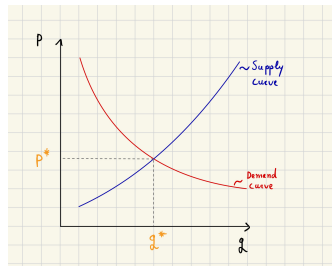


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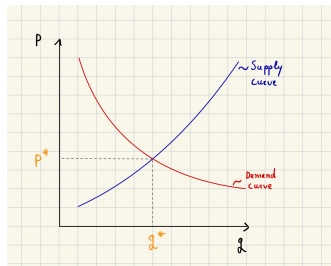


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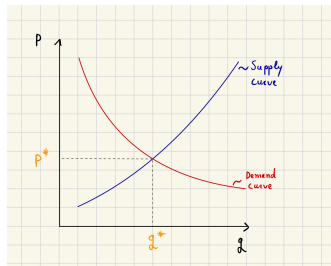


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- Note: Some stylized ABMs like Brock and Hommes (1997) also assume market equilibrium.

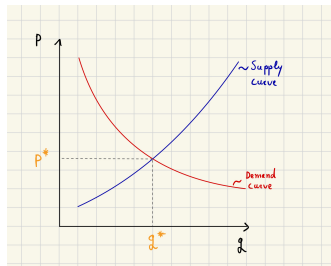


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- Buyers submit bids and sellers submit asks simultaneously based on their valuations.

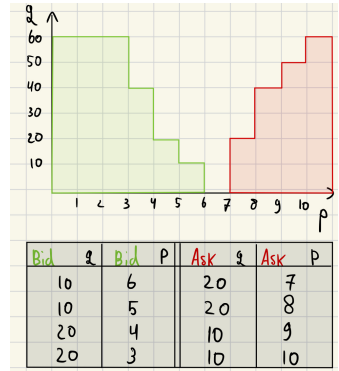


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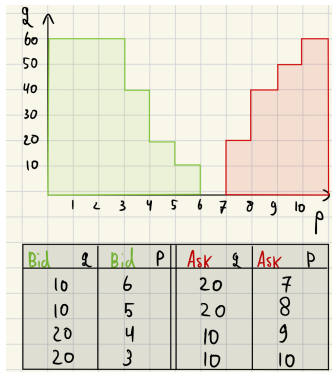


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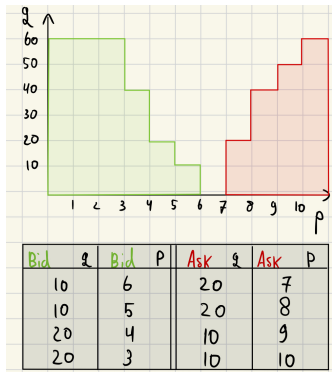


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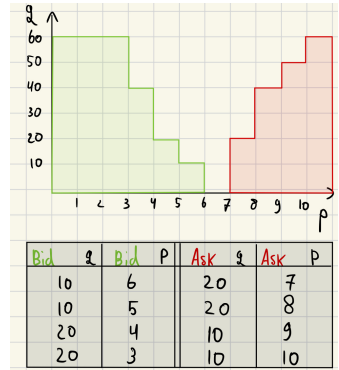


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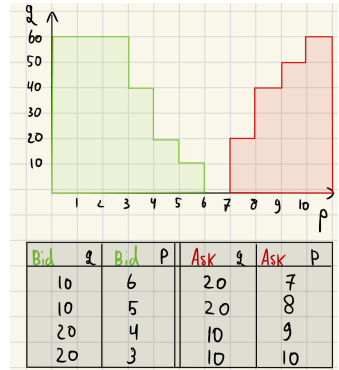


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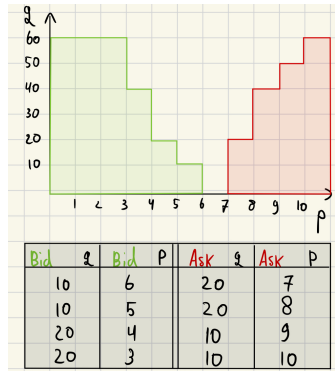


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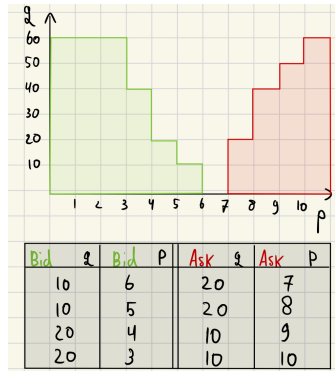


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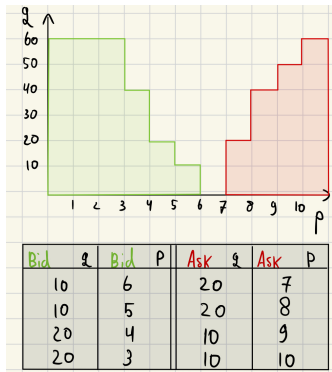


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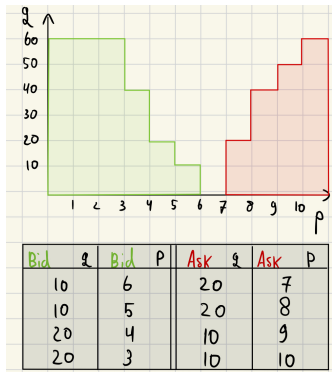


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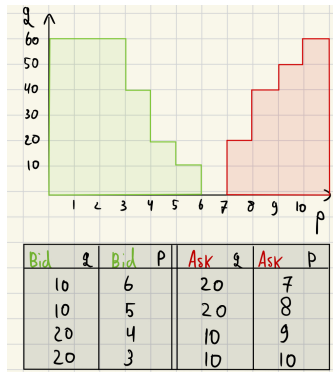


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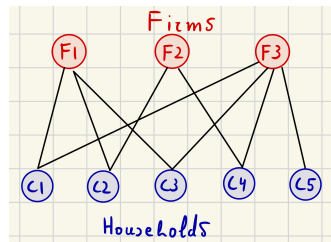


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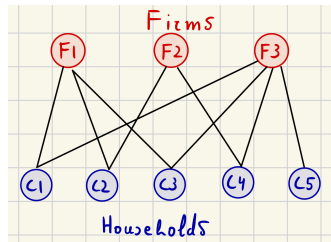


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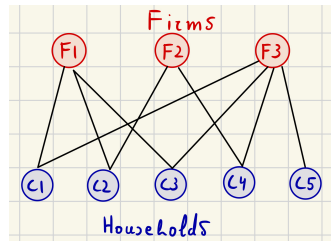


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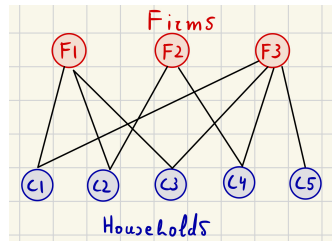


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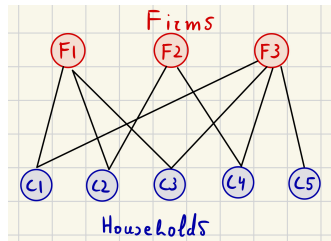


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- Supply does not need to match demand here.

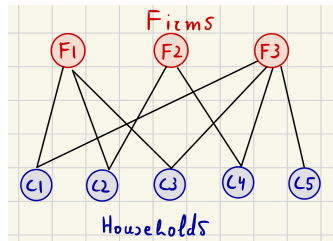
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- For example, Brock and Hommes (1997) developed a stylized agent-based model that:

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- A single bank default can trigger a cascade of defaults through the network.
- The model is static, analyzing a single clearing event rather than an evolving dynamic system.

Bank balance sheet

- The bank's balance sheet consists of the asset side and liability side.

BANK i BALANCE SHEET			
ASSETS		Liabilities	
Outside assets	c_i	Outside liabilities	b_i
Inside assets	p_{ji}	Inside liabilities	p_{ij}
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- Can we see how to make a network out of this?

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Systemic Risk and ABMs

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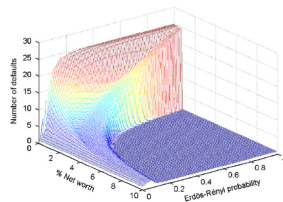


Figure: Number of defaults as a function of net worth and connectivity probability. Source: Nier et al. (2007)

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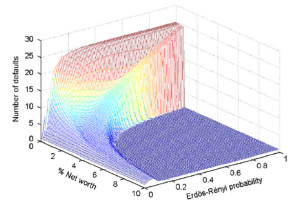


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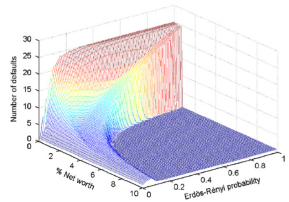


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- Each bank is represented as a balance sheet that updates based on a clearing rule.
- Monte Carlo simulations explore how changes in structural parameters affect network dynamics.

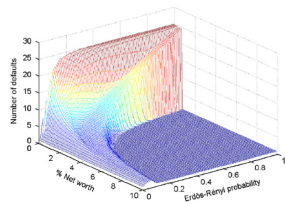
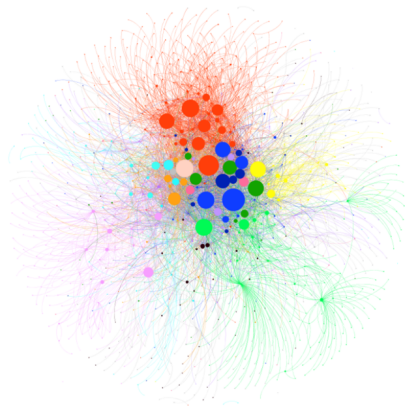


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Going from Qualitative to Quantitative



Sources: ECB supervisory data and ECB calculations. Notes: The node size captures the weighted in-degree of interconnectedness. The node colour represents the country of origin. The thickness of the links reflects the value of the exposures in € billions. The colour of the links refers to the country of the target, thus also capturing the borrower's perspective.

Figure: Euro area interbank network of large exposures. Source: Covi et al. (2019)

Assenza et al. (2015): Model overview

As a concrete example, consider the model of Assenza et al. (2015).

Agents

- Households (Worker & Capitalists)
- firms producing consumption goods (C-firms)
- firms producing capital goods (K-firms)
- banks

Markets

- Labour (search & matching)
- C goods (search & matching)
- K goods (search & matching)
- Credit (no search & matching)
- Deposits (no search & matching)

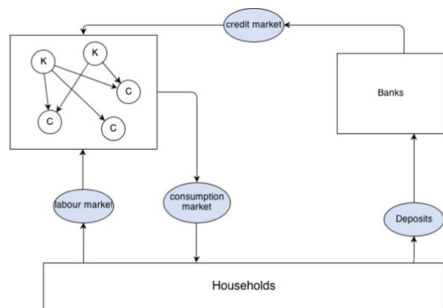


Figure: An overview of Assenza et al. (2015).

Households

- **Labour:** Workers supply one unit of labour inelastically; unemployed workers visit Z_e firms randomly and accept the going wage
- **Income:** Each **capitalist** owns one firm and receives a share of its profits; workers earn wage w
- **Human wealth:** Households form an adaptive estimate of permanent income (exponential moving average of past income)
- **Consumption budget:** Human wealth + a fraction χ of financial wealth
- **Shopping:** Visit Z_c random C-firms, rank by price, buy from cheapest first
- **Involuntary saving:** If goods are unavailable, unspent budget accumulates as deposits

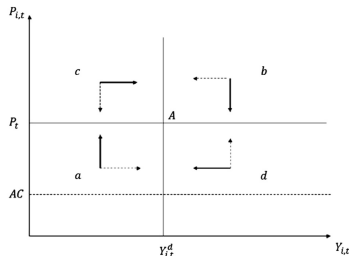
Adaptive Price-Quantity Setting

Firms do not know their demand curve. They observe two signals, **inventories** ($\Delta_{i,t}$) and **relative price** ($P_{i,t}$ vs. $\bar{P}_t$), and adjust *either* price or quantity:

- Quantity adjustment:

$$Y_{i,t+1}^e = \begin{cases} Y_{i,t} + \rho(-\Delta_{i,t}) & \text{if } \Delta_{i,t} \leq 0 \text{ and } P_{i,t} \geq \bar{P}_t, \\ Y_{i,t} - \rho\Delta_{i,t} & \text{if } \Delta_{i,t} > 0 \text{ and } P_{i,t} < \bar{P}_t, \end{cases}$$

- Price adjustment: $P_{i,t+1} = \begin{cases} P_{i,t}(1 + \eta_{i,t+1}) & \text{if } \Delta_{i,t} \leq 0 \text{ and } P_{i,t} < \bar{P}_t, \\ P_{i,t}(1 - \eta_{i,t+1}) & \text{if } \Delta_{i,t} > 0 \text{ and } P_{i,t} \geq \bar{P}_t, \end{cases}$



Both C-firms and K-firms use this mechanism. No firm optimises; each follows a simple heuristic that maps two observable signals to one adjustment.

Figure: Price-quantity setting. (Assenza et al., 2015)

Production and Supply Chain

Consumption goods (C-firms)

- Leontief technology:
 $\hat{Y}_{i,t} = \min(\alpha N_{i,t}, \kappa K_{i,t})$
- Uses both **labour** and **capital**
- Capital depreciates; must be replaced by purchasing from K-firms
- If labour or capital unavailable
⇒ involuntary underproduction

Capital goods (K-firms)

- Linear technology: $Y_{j,t} = \alpha N_{j,t}$
(labour only)
- Upstream supplier: output is a durable, storable input for C-firms
- Same adaptive price-quantity mechanism

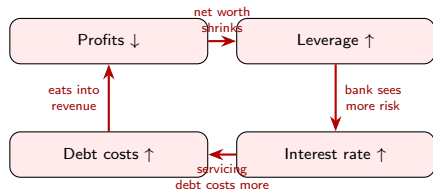
Key point

- Two-sector supply chain creates **interdependence**: C-firms depend on K-firms for capital; K-firms depend on C-firm investment demand

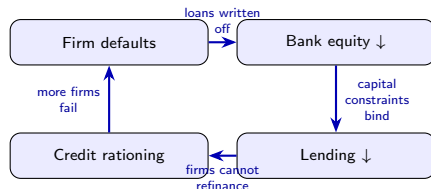
Credit and Financial Accelerator

- Firms borrow to cover the **financing gap**: production costs that exceed internal funds
- The bank sets interest rates based on **leverage** $\lambda = \text{debt}/\text{equity}$
- The bank **rations credit** when expected losses exceed its risk tolerance

Financial Accelerator



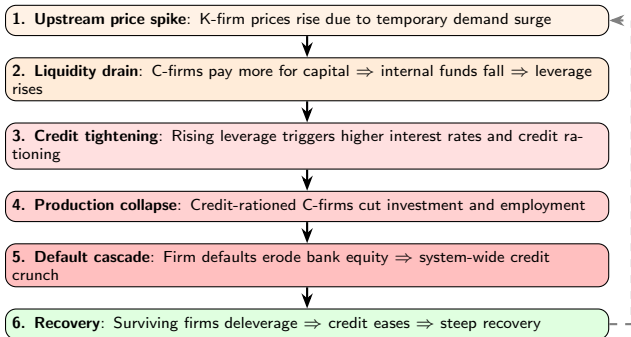
Bank Capital Channel



These loops amplify small shocks into large swings and generate instability **endogenously**.

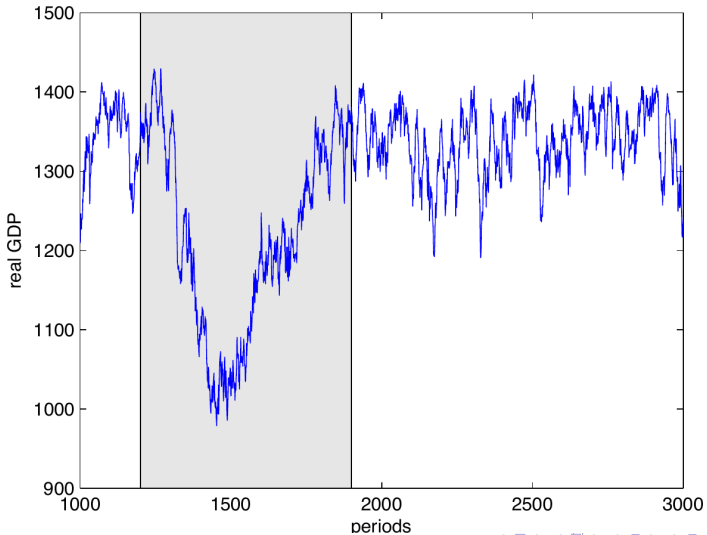
Emergent Crises

How does the model generate crises **without exogenous shocks**?



Key insight: No exogenous shock is needed; the supply chain and credit feedback loops are sufficient.

Simulation Results



Validation

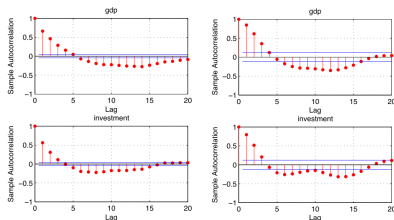


Figure: Autocorrelations: model (left) vs. data (right). (Assenza et al., 2015)

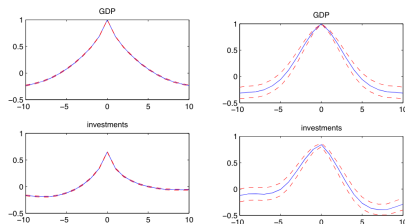


Figure: Correlations: model (left) vs. data (right). (Assenza et al., 2015)

The model reproduces key empirical regularities, persistence (high autocorrelation) and co-movement patterns, without relying on exogenous shocks.

Assenza et al. (2015) summary

Model Structure:

- Two-sector economy:
 - Upstream: Capital goods producers
 - Downstream: Consumption goods firms
- Adaptive behavior for price/quantity decisions
- Banking sector with credit constraints

Key Findings:

- Business cycles emerge without external shocks
- Reproduces empirical time series properties
- Crises occur from sectoral interactions

Crisis Mechanism:

- Spike in capital goods prices
- Consumption firms increase borrowing
- Credit rationing emerges when debt is high
- Production contracts, causing recession
- Recovery follows deleveraging

Implications:

- Upstream-downstream dynamics matter
- Debt cycles drive business cycles
- Adaptive behavior creates persistence

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- Next time: quantitative ABMs calibrated to real data, and calibration techniques.
- For now a little demonstration with *BeforeIT.jl* and *ABCCredit.jl* packages which are really well developed Julia packages to get you working with qualitative and quantitative ABMs.

Questions?

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